

Canada Strong

The Canadian government launched their new Canada Strong Fund, seeding it with \$25 billion over three years from federal coffers. The sovereign wealth fund targets investments in infrastructure and strategic assets, including clean energy projects, critical minerals, transportation networks, and agricultural advancements, as Canada seeks to emulate other resource-rich nations, such as Norway. However, unlike Norway, Canada is funding its sovereign wealth fund without any wealth; rather, it is running a budget deficit and will need to borrow from Canadian taxpayers to start the fund.

Government Intentions

The fund aims to bolster Canada's economic resilience amid global trade tensions and resource demands. Finance Canada positions it as a tool to co-invest alongside private capital in transformative projects that generate market-rate returns while prioritizing capital preservation. An independent board oversees investments to insulate decision-making from political interference, with profits reinvested to compound long-term growth.

They emphasize collaboration: the fund crowds in private capital without competing with existing institutions such as Export Development Canada. Later, retail investors gain access via public offerings, allowing everyday Canadians to participate directly in the upside of national infrastructure.

Value to Canadians

This approach delivers tangible benefits. It funds job-creating projects that strengthen supply chains and energy security. Citizens who own shares capture steady income from real assets; tolls, leases, commodities, and diversify beyond volatile public markets. It embodies a patient, stewardship-focused strategy that could mirror successful models like Norway's sovereign wealth fund.

Key Risks

A key risk of these investments is liquidity, as well as multiple challenges: they commit capital for extended periods, limiting access to funds for personal needs. Domestic concentration heightens vulnerability to regional policy shifts or commodity slumps. Political oversight risks threaten favouritism despite safeguards in place to avoid such conflicts of interest. And cost overruns in infrastructure projects (something Canada knows well!), or lagging returns, could result in future tax hikes to cover losses in the fund.

Lessons for Your Portfolio

The government pursues alternatives to diversify and compound national wealth, which may be a signal worth noting. Yet adopting similar allocations demands scrutiny. Suitability turns on your goals, time horizon, and risk tolerance; what fortifies a sovereign balance sheet may mismatch individual needs.

A Clarity Plan clarifies this fit, mapping alternatives against your full picture.

Contact Greg and me. We guide fiduciary diversification tailored to you. Reach out today.